

Recommendation

Case number	607999
Complainant	Mr Richard McLean
Financial firm	Fss Trustee Corporation

1 Overview

1.1 Complaint

The complainant held a Total Permanent Disability (TPD) insurance policy through his super fund. The complainant says he selected the highest amount of cover available.

The complainant made a successful TPD claim in 2008 and was paid \$83,100 representing one unit of cover. He says he should have been paid \$350,000.

The complainant also questions whether the Trustee was entitled to withhold tax from the lump sum payment, as he was unemployed and on a disability pension at the time.

The complainant is seeking the full amount of benefit he says held at the time.

1.2 Issues and key findings

Did the Trustee pay the complainant the correct TPD benefit amount?

Based on the available information, I am satisfied the complainant was paid the correct TPD benefit amount. The information provided confirms the complainant held one unit of TPD cover for an amount of \$83,100 at the date of disablement.

Did the Trustee correctly withhold tax when paying the TPD benefit

The information shows the Trustee correctly withheld tax when paying the TPD benefit, in accordance with the *Income Tax Assessment Act 1997* (ITA).

1.3 Recommendation

This recommendation is in favour of the Trustee.

The Trustee is not required to pay anything further in respect of the complainant's TPD insurance cover.

The Trustee is required to refund the amount of \$33.75, plus earnings to the complainant, representing premiums that were deducted in error at the time of the benefit payment for the period 19 December 2007 to 28 February 2008.

2 Reasons for recommendation

2.1 Did the Trustee pay the complainant the correct TPD benefit amount?

2004/2005 annual statement shows complainant had one unit of cover

The Trustee has provided a copy of the complainant's first annual statement for the period covering 1 July 2004 to 30 June 2005. The complainant joined the fund on 8 November 2004, which is the relevant eligible service date.

The bottom of page two of the statement outlines the covers the complainant had and the benefit amounts. The three covers do not have headings above them. However, the benefit amount, eligibility ages and the rate at which they are paid are sufficient for me to identify the covers. The left most cover is the TPD cover and the one in the middle is death cover as they are worth the same amount and tied together.

The statement shows the complainant had one unit of cover worth \$83,100 in the event of a successful claim during this statement period. This is the same level of cover that the complainant held at the date of disablement.

This \$83,100 cover amount was paid to the complainant in February 2008 less earnings, tax and fees per the 2008 exit statement and PAYG summary.

2004/2005 annual statement shows the complainant paid for one unit of cover

The first page of the 2004/2005 annual statement lists the insurance deductions taken from the account for the period 1 July 2004 to 30 June 2005. The complainant joined the fund on 8 November 2004, which is when the deductions for that financial year were calculated from.

The complainant had \$35.15 in premiums deducted from his account for death and TPD cover. The complainant was a member of the fund that financial year for 234 days (33 weeks and 3 days).

The 2004 Product Disclosure Statement (PDS) shows one unit of death and disablement insurance cost \$1.05 per week.

\$35.15 divided by \$1.05 is 33.47. This corresponds with the number of weeks the complainant was a member of the fund for in that year, 33 weeks and 3 days. This means I am satisfied the complainant had, and paid for, one unit of TPD cover.

Internal Trustee computer system screenshot shows one unit of cover

The Trustee has provided a screenshot of its internal computer system showing the covers held by the complainant and their value. The screenshot shows the complainant had one unit of TPD cover worth \$83,100.

This information corresponds with the information shown on the 2004/2005 annual statement.

2004 PDS conflicts with the complainant's recollections of application process

The complainant has submitted his recollections of the insurance application process and a supporting statutory declaration. The complainant stated he has a deep understanding of his medical condition, which meant he always opted for the highest level of cover when starting employment.

While I do not doubt this is the genuine recollection held by the complainant, his statement conflicts with the application process outlined in the 2004 PDS. The PDS states the complainant would have had to have completed an *Insurance Form* and a *Confidential Personal Statement*. The application would then have gone through an underwriting process. There is no evidence the complainant provided these forms or went through an underwriting process. The PDS also explains that automatic insurance arrangements will apply in any instance where a fund member does not specifically request otherwise.

The Trustee says new members received the basic level of cover automatically. The basic level of cover was one unit. This is supported by the information within the PDS and the welcome letter. The onus then shifts to the insured person to decide whether to increase, reduce or remove cover altogether. This would require the complainant to lodge a separate application to vary his level of cover.

AFCA considers contemporaneous evidence, such as a PDS or annual statement, to carry more weight than a statutory declaration, particularly where the declaration contradicts the contemporaneous evidence. On balance, I am satisfied the documentation provided by the Trustee reflects the complainant's level of cover at the relevant time.

2008 exit statement does not affirm the previous insurance arrangements

The complainant held two accounts at different times with the Trustee. His first account was opened on 8 November 2004. It was closed on 3 August 2006 at the complainant's request with the full benefit released under financial hardship grounds.

The second account was opened on 19 December 2007 and closed on 28 February 2008, when the TPD benefit was paid to the complainant. The account was opened only to receive and pay the TPD benefit. The complainant received an exit statement for this second account showing \$21.07 was deducted for death and/or permanent disablement insurance premiums. He believes this shows a higher level of cover on the second account, and therefore he must also have had a higher level of cover on his first account.

Basic level of cover increased to two units from August 2007

As previously discussed, the complainant exited the fund in 2006. In August 2007, changes were made to the fund's insurance cover and new members were enrolled with two units of TPD. As the complainant was not a member of the fund in 2007, he was not entitled to the additional unit of cover.

The complainant made a successful TPD claim against the fund in 2008. To pay the TPD benefit, the Trustee opened a new member account. Due to an error on the Trustee's part, insurance cover was inadvertently added to the new account. As this account was created after the insurance changes of August 2007, two units of cover were automatically applied.

Whilst I accept the complainant's position that the second account provided a higher level of cover, the information provided by the Trustee shows that the account was set-up for administrative purposes only. The Trustee has explained that the provision of insurance on this account was an error and has taken steps to refund any premiums back to the complainant.

Application form and welcome letter not available

The Trustee is unable to provide either the welcome letter or initial application form. The Trustee says the application from described by the complainant did not exist as applications were sent electronically to the fund by the employer. The Trustee is unable to provide the welcome letter or additional annual statements because it cannot locate the documents.

I am unable to draw any adverse inferences from this. Section 105 of the *Superannuation Industry (Supervision) Act 1993* requires the Trustee to retain records for 10 years or so long as they are relevant. As the claim was paid and the most recent account closed in February 2008, there is no requirement for the Trustee to have kept these documents beyond February 2018.

Regardless, I am satisfied from the other evidence available that the provision of these documents would not be likely to change the outcome of the complaint.

2.2 Did the Trustee correctly withhold tax when paying the TPD benefit

Trustee required by law to withhold tax when paying TPD lump sum benefit

The complainant received a lump sum benefit of \$74,393.47 less \$1,583 tax withheld. He questions whether tax should have been withheld from the payment as he was unemployed and on a disability pension at the payment date.

The Trustee paid the TPD benefit as a lump sum in accordance with item 103 of schedule 1 of the *Superannuation Industry (Supervision) Regulations 1994*. Section 301.35 of the *Income Tax Assessment Act 1997* (ITA) provides that tax is payable on the taxed element of the taxable component of the lump sum benefit when an

individual is below preservation age. There is no exception for unemployed persons or persons on a disability pension.

I am satisfied the Trustee was correct in withholding tax when paying the lump sum benefit.

Trustee withheld the correct amount of tax

The provided PAYG payment summary shows a taxed element of the taxable component of \$7,363.16 and a tax-free component of \$67,030.31. The taxable component is the portion of the lump sum TPD payment that is deemed to apply to the time the complainant has spent in the fund. The tax-free component is the portion of the lump sum that is deemed to apply to the time after the complainant leaves the fund until he would reach age 65. Tax is calculated just before the benefit is paid.

The complainant joined the fund on 8 November 2004 and received the TPD payment on 28 February 2008. The complainant will turn 65 years old on 8 April 2038. This means the complainant was a member of the fund for 1208 days. If he had stayed in the fund until his 65th birthday, he would have been a member for 12205 days.

To calculate the components, we take the total days the complainant was a member of the fund (1208), divide this by the days the complainant would have been in the fund for had he stayed until his 65th birthday (12205), and multiply by the closing balance (\$74,393.47). This gives a figure of \$7,363.16, which is the taxable component shown on the PAYG summary. This is expressed as:

$$1208 / 12205 \times 74,393.47 = \$7,363.16 \text{ (rounded)}$$

To calculate the tax owed on the taxed element of the taxable component, we need the applicable tax rate at the time (20%) and the applicable Medicare levy rate (1.5%). \$7,363 divided by 100 and then multiplied by 21.5 provides \$1,583 to be paid in tax, as shown on the PAYG summary. This is expressed as

$$\$7,363.16 / 100 \times 21.5 = \$1,583 \text{ (rounded)}$$

This means I am satisfied the Trustee withheld the correct amount of tax.

3 Supporting information

3.1 Relevant definitions

Superannuation Industry (Supervision) Act 1993 – Section 105

Duty to keep reports

(1) Each trustee of a regulated superannuation fund or of an approved deposit fund must ensure that:

(a) copies of all member or beneficiary reports are kept, and retained so long as they are relevant and in any event for at least 10 years...

Income Tax Assessment Act 1997 – Section 301.35

Superannuation lump sum - taxable component taxed at 20%

(1) If you are under your preservation age when you receive a superannuation lump sum, the taxable component of the lump sum is assessable income.

3.2 Policy terms

2004 PDS

Record	Key points
Options for changing cover Page 37	• Provides option to stick with covers provided in welcome letter. • Provides option to opt out of some or all of the covers. • Provides option to reduce or increase covers.
How to change your insurance Page 41	• Check the table on page 40 to see what type of insurance you can get with your account. To see which account you've got and what your options are, check your Welcome Letter included in the mail out pack. If you want to stick with the insurance that is offered to you automatically, then you don't need to do anything. • Next you need to work out how much insurance you need. First, take a look at how much insurance you can get automatically after 1 July 2004 (this will appear on your welcome letter). • If you decide to increase your level of insurance, you must complete an Insurance Form and a Confidential Personal Statement (CPS) at www.healthsuper.com.au. The CPS can also be downloaded from www.healthsuper.com.au. All requests for increased in insurance cover are subject to the satisfactory completion of the CPS and meeting underwriting conditions (e.g. health history).

Record	Key points
Choose a level of death and disablement insurance Page 43	- One unit of death and/or permanent disablement cover cost \$1.05 per week. - This equates to a benefit amount of \$83,100 for individuals 35 years old and under.

July 2007 PDS

Record	Key points
About insurance Page 7	<i>If you are eligible, some changes to the insurance offering in the Fund from 1 August 2007 and detailed in the following section will apply automatically, such as the increase in the Default level of cover of Death and TPD to 2 units of cover.</i>

3.3 Key supporting documents

Record	Key points
2004/2005 annual statement Annual statement 30 June 2005	- Death and/or disablement cover premiums deducted between 8 November 2004 and 30 June 2005 total \$35.15. - One unit of death and/or disablement cover has benefit value of \$83,100.
Internal screenshot Computer screenshot 7 February 2019	- One unit of TPD cover. - TPD cover benefit of \$83,100.
2008 exit statement Exit statement 29 February 2008	- Account opened 19 December 2007 and closed 28 February 2008. \$83,100 benefit transferred into account. \$21.07 deducted in death and or permanent disablement insurance premiums. - Closing balance of \$74,393.47 due to earnings loss. \$1,583 tax withheld - Net benefit payable \$72,810.47 - Taxed element of taxable component of \$7,363.16. - Tax free component of \$67,030.31
PAYG Summary PAYG Summary 29 February 2019	- Included cheque for \$72,810.47 - Taxed element of taxable component of \$7,363.16. - Tax free component of \$67,030.31 \$1,583 tax withheld
Complainant's statement Statutory Declaration 10 January 2019	- Has in depth knowledge of cyclic nature of mental illness. - Declares he always signed and ticked the highest box of TPD insurance when applying for jobs.

Record	Key points
	Incorrectly paid lowest amount of TPD benefit.
Trustee response to AFCA Letter 19 February 2019	- New employer sponsored member details were provided to the fund electronically at the time the complainant joined the fund. 2004/2005 is the only annual statement available in the fund's records. - Fund does not hold a copy of the welcome letter.

3.4 Approach to the recommendation and issues not considered

I have reviewed and considered all of the material provided by the parties. While the parties have raised numerous issues in their submissions, for the purposes of this recommendation, I have restricted my commentary to those issues that I consider directly relevant to the outcome only.

The complainant raised a number of issues once the complaint was underway that he had not raised at the time of making his original complaint. This is because the Trustee has not been given the opportunity to address the new issues as part of the usual complaint handling process. This means I have not considered any additional issues raised by the complainant, such as his concerns about fees and his concerns about the earning returns on the second account. If the complainant wants these issues considered he should contact the Trustee.



Jamie Maclachlan
Case Manager
Australian Financial Complaints Authority